

EMPLOYMENT AGREEMENT

This Employment Agreement ("Agreement") is entered into as of **January 15, 2024**, by and between:

Employer: NovaTech AI Corporation, a Delaware corporation with principal offices at 2000 Technology Park, Building A, Palo Alto, CA 94304 ("Company")

Employee: Dr. Sarah Mitchell, residing at 456 Oak Avenue, Mountain View, CA 94041 ("Employee")

1. POSITION AND DUTIES

The Company hereby employs Employee as **Senior Machine Learning Engineer**, reporting to the VP of Engineering. Employee shall perform duties including but not limited to: designing and implementing machine learning models, leading a team of 4 engineers, conducting research in natural language processing, and contributing to technical architecture decisions.

Employee agrees to devote full professional time, attention, and best efforts to the performance of duties. Employee may engage in outside activities provided they do not interfere with obligations under this Agreement.

2. COMPENSATION

Base Salary: \$185,000 per annum, payable in bi-weekly installments of \$7,115.38, subject to applicable withholdings and deductions.

Signing Bonus: \$25,000, payable within 30 days of the Effective Date. If Employee voluntarily terminates employment within 12 months, Employee shall repay the signing bonus on a pro-rata basis.

Annual Bonus: Employee shall be eligible for an annual performance bonus of up to 20% of base salary, based on individual and company performance metrics determined by the Board of Directors.

3. EQUITY COMPENSATION

Employee shall be granted **50,000 stock options** under the Company's 2024 Equity Incentive Plan. Options shall vest over a four-year period with a one-year cliff: 25% vesting after the first year, then monthly vesting of 1/48th for the remaining 36 months. Exercise price shall be the fair market value on the date of grant.

4. BENEFITS

Employee shall be entitled to participate in all benefit programs available to similarly situated employees, including: health insurance (medical, dental, vision), 401(k) with 4% company match, life insurance, disability insurance, and an annual professional development budget of \$5,000.

Employee shall receive **20 days of paid time off (PTO)** per calendar year, plus 10 company holidays and 5 sick days.

5. CONFIDENTIALITY

Employee acknowledges that during employment, Employee will have access to and become acquainted with Confidential Information. "Confidential Information" means all non-public information relating to the Company's business, including but not limited to: trade secrets, algorithms, source code, datasets, customer lists, financial data, business strategies, and product roadmaps.

Employee agrees to hold all Confidential Information in strict confidence and not to disclose, publish, or use such information for any purpose other than the performance of duties under this Agreement, both during and after employment.

6. INTELLECTUAL PROPERTY

All inventions, discoveries, designs, developments, improvements, copyrightable works, and trade secrets conceived or developed by Employee during employment that relate to the Company's business shall be the sole and exclusive property of the Company. Employee hereby assigns all rights, title, and interest in such work product to the Company.

7. NON-COMPETE AND NON-SOLICITATION

For a period of **12 months** following termination of employment, Employee shall not: (a) engage in any business that directly competes with the Company's primary products in the field of AI-powered document processing; (b) solicit or attempt to hire any employee of the Company; (c) solicit business from any client or prospective client of the Company.

8. TERMINATION

At-Will Employment: Either party may terminate this Agreement at any time, with or without cause, upon 30 days' written notice.

Severance: If the Company terminates Employee without cause, Employee shall receive 3 months' base salary as severance, continued health benefits for 3 months, and acceleration of an additional 6 months of equity vesting.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the date first written above.

James Chen, CEO
NovaTech AI Corporation
Date: January 15, 2024

Dr. Sarah Mitchell
Employee
Date: January 15, 2024